

Then there was Energy Reserves, whose key drilling prospect in Wyoming turned out to be a dry hole, promptly sinking its stock from 36 to 6. And when the CAT scanner market was decimated by regulatory changes that forced hospitals to cut their budgets, Elscint's stock went from 28 to 8 in short order. Of course, I hadn't bought them at the top. Every debacle of this sort was preceded by a long period of rising prices and euphoria. (This happy period deserves a name of its own. If a collapse is a *debacle*, can we call the prior rise a "bacle"?)

If you don't make some misjudgments, you're doing it wrong: you've not taken enough risk and you'll never score a big one. You do best when your investments are controversial—when you stray farthest from the herd.

Aside from the risk of the out-and-out failure of companies, small-cap stocks are more volatile, which is another way to look at risk. When a company has only one or two products, its earnings can swing more violently than those of a Procter & Gamble, with thousands of products whose fortunes can offset one another. As a fairly recent concrete example of what volatility means in the real world, the net asset value of Acorn's shares dropped 23.3 percent in just one quarter—the third quarter of 1990 (the market as a whole was down about 15 percent). The investor has to have the stomach for these air pockets.

And even if you can stand the downdrafts, you shouldn't be in the riskier end of the stock spectrum with money you're going to need soon—say, to meet a college tuition payment in the next two or three years. The market gets slammed to the floor with regularity, and it may not struggle up again for a couple of years. And since investors taking their first tentative steps back into a bloodied market generally feel safer with blue chip stocks, it usually takes small-caps longer to regain their footing.